Energy Wave

energywave.ai • SAFE term summary — a prospective instrument template; no SAFE executed
15 October 2026 · DD-2026-10-15-r5.6-draft

CONFIDENTIAL — DRAFT — FOR DISCUSSION · NO SAFE EXECUTED · NO FUNDING RAISED (FOUNDER, 15 OCT 2026) · AMOUNT AND TERMS TBD

A prospective SAFE, term by term. What the Oct-13 deck proposed, what counsel would set, what is TBD.

The Oct-13 deck and one-pager proposed a $60,000 SAFE with a three-month runway; the valuation cap, discount and most-favoured-nation terms were “set with counsel” and appear nowhere in the package. On 15 October 2026 the founder stated that **no SAFE has been executed** and no funding has been raised, and that the current amount, instrument and terms are TBD (ledger S-44). This page is therefore kept as a prospective instrument template — the skeleton of a term sheet with every unset term marked TBD — so that if a SAFE is chosen, counsel and the founder can fill it without re-deriving the rest. Nothing here is adopted, funded or an offer.

1 · TERMS

Term	Value	Source / status
Issuer	EnergyWave, Inc., Delaware C-corporation — **not formed** as of 14 Oct 2026 (founder’s statement, ledger S-38); K&L Gates is handling the entity work (founder, 15 Oct 2026, S-44) and its four confirmations are pending. The SAFE cannot be issued until the issuer exists; the file number and date are added on formation.	Deck slide 8; D3 OPEN
Instrument	SAFE — simple agreement for future equity — on the Oct-13 deck; none executed (founder, 15 Oct 2026). Whether a SAFE is used at all is **[TBD] — instrument**; if so, its form (post-money or pre-money; standard form or counsel’s own) **[TBD] — SAFE form**	Deck slide 10 DECK · HISTORICAL
Amount	$60,000 on the Oct-13 deck and one-pager — a dated proposal, not an adopted or funded amount. Current amount: **[TBD] — current amount**	Deck slides 10–11; one-pager DECK · HISTORICAL
Valuation cap	**[TBD] — valuation cap**	One-pager: “terms / cap set with counsel” OPEN
Discount	**[TBD] — discount**	OPEN
Most-favoured-nation	**[TBD] — MFN**	OPEN
Pro rata right	**[TBD] — pro rata side letter**	OPEN
Investor(s)	**[TBD] — investor(s) and accredited-investor basis**	OPEN
Securities exemption	Rule 506(b) or 506(c). The answer governs whether any deck may reach an investor who has not heard from the company first. No general solicitation until counsel answers. **[Pending: counsel — 506(b) or 506(c)]**	Counsel question list (Legal page §5) OPEN

Term	Value	Source / status
Conversion	Into the next qualifying financing as counsel defines it in the chosen SAFE form, subject to the cap and discount above. Whether the Seed Round described in 02_Seed_Round is priced equity or itself a SAFE is open (register B-2), so no conversion event is identified here. Trigger definitions, change-of-control and dissolution treatment follow the chosen form.	Structure DRAFT
Runway purchased	Three months, founder full-time.	Deck slide 10 DECK
Information rights	The program commitment applies: investors receive the same gate reports the public does. Any additional rights **[TBD] — information-rights letter**	Program commitments DRAFT
Signatory for the issuer	Ian McLean, **[TBD] — officer title on formation — counsel's CEO / Secretary / CFO confirmation pending**	Truong, 5 Oct 2026 (M-19) OPEN
Strategic path	Structured to pursue strategic investment from In-Q-Tel — a stated intent, not a relationship; IQT (In-Q-Tel, Inc.) is a founder-selected target (15 Oct 2026).	Deck slide 8 DECK

2 · USE OF PROCEEDS (OCT-13 DECK, ESTIMATED ALLOCATION — HISTORICAL PROPOSAL; CURRENT ALLOCATION TBD)

Line	Purpose	Amount	Read against counsel's quotes
Entity formation & legal	C-corp + 501(c)(3) setup	$4,000	Covers counsel's ~$2,800 formation estimate (Truong, 5 Oct); not yet the 501(c)(3) application.
IP / patent counsel retainer	K&L Gates — provisional filings	$25,000	Covers a $2,000 coversheet provisional and most of a $10k–$20k non-provisional (Majewski, 5 Oct). No fee-authorization evidence is in the package.
Founder runway	3 months, full-time	$24,000	Founder salary placeholder in the raise model is a separate, later item.
Reserve & travel	Investor / advisor meetings	$7,000	—
Total	**Capital-readiness round**	**$60,000**	"Estimated allocation — confirm IP retainer and founder runway with counsel" (deck slide 11).

3 · CONTEXT THE INVESTOR WILL ASK ABOUT

- **Capital raised to date:** approximately $10,000 including founder contributions, no outside debt or equity (founder's statement, 9 Oct 2026); on 15 Oct 2026 the founder stated that no funding has been raised and no SAFE executed — both dated statements stand, and the reconciliation basis is **[TBD] — reconciliation of the 9 Oct record with the 15 Oct statement**. A competition prize is not capital raised.

- **Prior SAFE — closed:** the September checklist lists “Pre-seed SAFE(s) and terms — Have” (DD_Checklist!E10) and Headcount!P4 says a pre-seed SAFE covered runway; on 15 Oct 2026 the founder confirmed “correct no safe has been done” — **no executed SAFE (founder attestation)**. The workbook entries are preserved in the pinned file as a dated conflict, not corrected.
- **Capital Readiness and the Seed Round:** the Oct-13 materials say “not a seed round”; on 15 Oct 2026 the founder directed that this round may be combined with the Seed Round, whose amount and terms are TBD in 02_Seed_Round. Every term above is a draft for counsel; nothing is an offer.

Sources: Oct-13 deck slides 8, 10–11 and one-pager (S-01, S-02); counsel originals of 5 Oct 2026 (M-19); Approved_Submission_Corrections_2026-10-09 item 6 (M-06); Raise Model DD_Checklist row 7 (M-02); Counsel_Questions_Consolidated (M-03b); DECISIONS.md D1, D3, D5; founder decisions of 15 Oct 2026 (S-44).